26SMCV00462 26SMCV00462

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-07-27

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Case Number: 26SMCV00462 Hearing Date: July 27, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

July 27, 2026

CASE NUMBER

26SMCV00462

MOTIONS

Demurrer and Motion to Strike Portions of Cross-Complaint

MOVING PARTIES

Defendants Fidelity National Title Insurance Company,
Fidelity National Financial, Inc., Fidelity National Title Company, and
Fidelity National Title Company of California

OPPOSING PARTY

Plaintiff Nicole Dairy

MOTIONS

This case arises from allegations that Defendant insurers failed to honor their duty to defend Plaintiff against the defendant's cross-complaint in the underlying case Dairy v. Galactus, LLC, case no. 24SMCV02533.

On January 23, 2026, Plaintiff Nicole Dairy ("Plaintiff") filed suit against Defendants Fidelity National Title Insurance Company; Fidelity National Financial, Inc.; Fidelity National Title Company; and Fidelity National Title Company of California ("Defendants" or "Fidelity"), alleging four causes of action for (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) declaratory relief; and (4) unfair business practices.

On May 7, 2026, the Court overruled Defendants' demurrer, but granted their motion to strike punitive damages from the Complaint with leave to amend.

Plaintiff filed the operative First Amended Complaint ("FAC") on May 20, 2026.

Defendants now demur again, on the grounds the FAC fails to state facts sufficient to constitute a cause of action, pursuant to Code of Civil Procedure section 430.10, subdivision (e).
Defendants also move to strike punitive damages from the FAC.

Plaintiff opposes both motions and Defendants reply.

REQUESTS
FOR JUDICIAL NOTICE

Defendants' Request for Judicial
Notice

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Exhibit 1: Verified Complaint in Nicole Dairy v. Galactus LLC, 24SMCV02533, filed May 29, 2024

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Exhibit 2: Complaint in Nicole Dairy v. Marc Smith, 23STCV02238, filed February 1, 2023

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Exhibit 3: Cross-Complaint in Nicole Dairy v.
Galactus LLC/Galactus LLC v. Nicole Dairy, 24SMCV02533, filed August 12,
2024

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Exhibit 4: Online Docket in Nicole Dairy v.
Marc Smith, 23STCV02238

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Exhibit 5: Online Docket in Nicole Dairy v.
Galactus LLC, 24SMCV02533

Judicial notice may be taken of records of any court in this state. (Evid. Code, § 452, subd. (d)(1).) Because the above documents are all court records in this state, the Court may take judicial notice of them. (Ibid.) However, "while courts are free to take judicial notice of the existence of each document in a court file, including the truth of results reached, they may not take judicial notice of the truth of hearsay statements in decisions and court files. Courts may not take judicial notice of allegations in affidavits, declarations and probation reports in court records because such matters are reasonably subject to dispute and therefore require formal proof." (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882 [cleaned up].)

Accordingly, the Court takes judicial notice of the existence, filing, and legal consequences of the above documents, but not the truth of the allegations contained therein.

Plaintiff's Request for
Judicial Notice

· The decisional law in California is that the duty to defend in a title insurance case is governed by the same principles which govern the duty to defend under general liability policies. [See Lambert v. Commonwealth Land Title Ins. Co., 53 Cal.3d 1072, 1077 (1991) ("The duty to defend in a title insurance case is governed by the same principles which govern the duty to defend under general liability policies.")].

· The decisional law in California is that the
duty to defend in a title insurance case applies even to noncovered claims so long as any of the claims asserted in the complaint discloses the potential for liability covered by the title policy. [See Liberty Nat'l Enterprises v. Chicago Title Ins. Co., 217 Cal. App. 4th 62, 76 (2013) ("The duty to defend applies even to noncovered claims so long as any of the claims asserted in the complaint discloses the potential for liability covered by the policy."); Lambert v. Commonwealth Land Title Ins. Co., 53 Cal.3d 1072, 1077 (1991) ("The duty to defend in a title insurance case is governed by the same principles which govern the duty to defend under general liability policies.")].

Judicial
notice may be taken of the decisional law of any state of the United States. (Evid. Code, § 452, subd. (a).) Therefore, the Court takes judicial notice of the above-referenced cases.

ANALYSIS

1.
DEMURRER

"It is black letter law that
a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a
demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that
the reviewing court draws inferences favorable to the plaintiff, not the

defendant.” (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, “[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged.” (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.
FAILURE TO STATE A CAUSE OF ACTION

i.
Statute of Limitations

Defendants first demur on the grounds that all causes of action are barred by the applicable statute of limitations and/or are duplicative of the time-barred breach of contract claim.

An action upon a policy of title insurance must be brought within two years. (Code Civ. Proc., § 339, subd. (1).) The cause of action does not accrue “until the discovery of the loss or damage suffered by the aggrieved party[.]” (Ibid.)

Defendants point to Plaintiff’s verified pleadings in the Galactus action, wherein she alleges that in January 2023 she “discovered that the fence had been placed in a manner that clearly amounted to a trespass even to the untrained eye.”

As a threshold matter, while the Court can take judicial notice of the fact that a complaint was filed in the Galactus matter, the date the complaint was filed, the parties to that action, and the fact that certain allegations were made, the Court cannot take judicial notice of the truth of those statements. Even though the Galactus complaint is verified, the statements amount to sworn testimony, which must be weighed and tested as evidence, not accepted as absolute truth.

Thus, the Court can take judicial knowledge of the fact that the Galactus matter involved claims affecting Plaintiff's title to real property, and thus Defendants' alleged failure to defend her in that matter constitutes an alleged breach of a title insurance policy, implicating the above 2-year statute of limitations. But the Court cannot take judicial notice of the "fact" that Plaintiff definitively discovered the encroachment in January 2023.

Moreover, Plaintiff's "harm" in this case would be Defendants' failure to defend her in the Galactus suit, not the underlying encroachment.

In Tabachnick v. Ticor Title Ins. Co. (1994) 24 Cal.App.4th 70, 77, cited by Defendants, the action against the insurer must have been brought within two years of the commencement of the underlying suit.
Here, the Court can take judicial notice of the fact that the Galactus matter was initiated on May 29, 2024, and this action was filed less than two years later, on January 23, 2026.

But the date of Defendants' breach in this case may actually be later than the encroachment discovery in January 2023. Notably, any defense of Plaintiff in the Galactus matter would necessarily pertain to the cross-complaint filed against her on August 12, 2024, not her operative complaint. Moreover, as Defendants concede, "[T]he breach alleged here is Defendants' December 11, 2025 decision to provide only a partial defense." (Demurrer at p. 15, citing FAC ¶¶ 29-36.)

As such, the Court finds that Plaintiff's claims are not time-barred.

ii.
First Cause of Action – Breach of Contract

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff.” (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Defendants argue that Plaintiff’s breach of contract claim fails as a matter of law, because the alleged December 11, 2025 “breach” of deciding to provide only a partial defense occurred after the underlying claim was time-barred.

Defendants do not explain how the underlying claim was time-barred. The Galactus matter alleges five causes of action for (1) trespass; (2) breach of covenant; (3) quiet title; (4) nuisance; and (5) negligence.

The statute of limitations for trespass, nuisance, and negligence resulting in damage to property is generally three years. (Code Civ. Proc., § 338, subd. (b).) The statute of limitations for violation of a restriction is five years (Code Civ. Proc., § 336, subd. (b)) otherwise a breach of written contract is four years (Code Civ. Proc., § 337, subd. (a).) The statute of limitations for quiet title depends on the nature of the underlying theory of the claim. For adverse possession, it is five years (Code Civ. Proc., § 325), if premised in fraud, mistake, or slander of title, the statute of limitations is three years (Code Civ. Proc., § 338, subd. (d), (g).)

Thus, the earliest potential statute of limitations for the claims in the Galactus matter is three years.

In the Galactus case, Plaintiff alleged she discovered the underlying encroachment in January 2023, and filed suit less than two years later on May 29, 2024. (Ex. 1 at ¶ 18.) Thus, there is nothing on the face of the Galactus complaint, of which the Court can take judicial notice, indicating that the Galactus matter was time-barred when filed.

To the extent Defendants are arguing that more than two years had lapsed by December 2025, when they opted to provide Plaintiff only a partial defense against Galactus’ cross-claims, the argument is not well taken for two reasons. First, as discussed above, the earliest statute of limitations for all causes of action alleged in the Galactus matter was three years, not two, and December 2025 is less than three years from January 2023. Second, the statute of limitations governs the time within which a party must file a lawsuit. It does not operate as a trial deadline, after which a party may simply stop defending an ongoing lawsuit that was timely filed.

Therefore, the Court overrules Defendants' demurrer to the first cause of action for breach of contract.

iii.
Second Cause of Action – Breach of the Implied Covenant of Good Faith and Fair Dealing

"Implied in every contract is a covenant of good faith and fair dealing. The implied covenant prevents one side from unfairly frustrating the other's right to receive the benefits of the agreement actually made. The covenant does not impose substantive terms beyond those of the contract. A plaintiff claiming breach must allege the defendant's wrongful conduct was contrary to the contract's purpose and the parties' legitimate expectations." (Cordoba Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Because the covenant is a contract term, in most cases compensation for its breach is limited to contract rather than tort remedies. (Kransco v. American Empire Surplus Lines Ins. Co. (2000) 23 Cal.4th 390, 400.)

However, tort recovery for a breach of the implied covenant of good faith and fair dealing is available in cases involving an insurance contract, where an independent duty arises from principles of tort law, or where there has been a bad faith denial of the existence of or liability under the breached contract. (Freeman & Mills, Inc. v. Belcher Oil Co. (1995) 11 Cal.4th 85, 102.) Otherwise, "a breach of the implied covenant of good faith is a breach of the contract" although "breach of a specific provision of the contract is not ... necessary" to a claim for breach of the implied covenant of good faith and fair dealing[.]" (Thrifty Payless, Inc. v. The Americana at Brand, LLC (2013) 218 Cal.App.4th 1230, 1244.)

Defendants argue that because Plaintiff's contractual claims are time barred, the breach of the implied covenant of good faith and fair dealing claim is similarly time barred.

As discussed above, the Court does not find Plaintiff’s contract-based causes of action time barred. Therefore, the Court overrules Defendants’ demurrer to the second cause of action.

iv.
Third Cause of Action – Declaratory Relief

“Any person interested under a written instrument, excluding a will or trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property […] may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.” (Code Civ. Proc., § 1060.) “The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought.” (Ibid.)

Causes of action for declaratory relief require “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party’s rights or obligations.” (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909.) Because declaratory relief operates prospectively, and not merely for the redress of past wrongs, (Snyder v. California Ins. Guarantee Assn. (2014) 229 Cal.App.4th 1196, 1207), a plaintiff or cross-complainant may prevail on a claim for declaratory relief, regardless of whether they have yet suffered any damages.

Defendants argue that because their obligations under the insurance policy agreement expired no later than February 2025 (two years after Plaintiff’s January 2023 discovery of the encroachment on her property), there is no ongoing controversy subject to declaratory relief.

As discussed above, Defendants’ argument improperly conflates the applicable statutes of limitations, the dates each claim accrued, the respective deadlines to file suit, and the deadline to bring a case to trial.

Plaintiff has adequately alleged an ongoing controversy regarding Defendants' continuing obligation to defend Plaintiff vis-à-vis Galactus' cross-complaint. Therefore, the Court overrules Defendants' demurrer to the third cause of action.

v.
Fourth Cause of Action – Unfair Business Practices

Business and Professions Code section 17200, known as the Unfair Competition Law, or "UCL," bars unfair competition, defined as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code.
"An 'unlawful' business practice or act within the meaning of the UCL is an act or practice, committed pursuant to business activity, that is at the same time forbidden by law." (Bernardo v. Planned Parenthood Federation of Am. (2004) 115 Cal.App.4th 322, 351.) "By proscribing 'any unlawful' business practice, section 17200 borrows violations of other laws and treats them as unlawful practices that the unfair competition law makes independently actionable." (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 180.) Moreover, "a practice may be deemed unfair even if not specifically proscribed by some other law." (Ibid.)

To have standing to bring a UCL claim, a plaintiff must "(1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that that economic injury was the result of, i.e., caused by, the unfair business practice or false advertising that is the gravamen of the claim." (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 322.)

Defendants argue (1) because Plaintiff's predicate claims fail, her UCL claim must also fail; and (2) Plaintiff has not alleged an economic injury in fact to establish standing to bring a UCL claim.

Because the Court overrules Defendants' demurrer to Plaintiff's other claims, the Court rejects Defendants' first argument that there are no predicate violations upon which to base the UCL claim.

As for standing, Plaintiff alleges economic damages resulting from Defendants' failure to fully defend her in the Galactus matter in the amount of $2,500,000. (FAC ¶ 53.) Those allegations are incorporated by reference into the fourth cause of action. (See FAC ¶ 69.)

Therefore, the Court overrules Defendants' demurrer to the fourth cause of action.

2.
MOTION TO STRIKE

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322, subd. (b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782.)

In ruling on a motion to strike punitive damages, "judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) To state a prima facie claim for punitive damages, a plaintiff must allege the elements set forth in the punitive damages statute, Civil Code section 3294. (College Hosp., Inc. v. Superior Court (1994) 8 Cal.4th 704, 721.) Per Civil Code section 3294, a plaintiff must allege that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) As set forth in the Civil Code,

(1)
"Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. (2) "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.
(3) "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code, § 3294, subd. (c)(1)-(3), emphasis added.)

Further, a plaintiff must assert facts with specificity to support a conclusion that a defendant acted with oppression, fraud or malice. To wit, there is a heightened pleading requirement regarding a claim for punitive damages. (See Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042.)
"When nondeliberate injury is charged, allegations that the defendant's conduct was wrongful, willful, wanton, reckless or unlawful do not support a claim for exemplary damages; such allegations do not charge malice. When a defendant must produce evidence in defense of an exemplary damage claim, fairness demands that he receive adequate notice of the kind of conduct charged against him." (G. D. Searle & Co. v. Superior Court (1975) 49 Cal.App.3d 22, 29 [cleaned up].) In Anschutz Entertainment Group, Inc. v. Snepp, the Court of Appeal noted that the plaintiffs' assertions related to their claim for punitive damages were "insufficient to meet the specific pleading requirement." (Anschutz Entertainment Group, Inc. v. Snepp (2009) 171 Cal.App.4th 598, 643 [plaintiffs alleged "the conduct of Defendants was intentional, and done willfully, maliciously, with ill will towards Plaintiffs, and with conscious disregard for Plaintiff's rights. Plaintiff's injuries were exacerbated by the malicious conduct of Defendants. Defendants' conduct justifies an award of exemplary and punitive damages"]; see also Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166 ["The mere allegation an intentional tort was committed is not sufficient to warrant an award of

punitive damages. Not only must there be circumstances of oppression, fraud, or malice, but facts must be alleged in the pleading to support such a claim”].)

Moreover, “the imposition of punitive damages upon a corporation is based upon its own fault. It is not imposed vicariously by virtue of the fault of others.” (City Products Corp. v. Globe Indemnity Co. (1979) 88 Cal.App.3d 31, 36.) “Corporations are legal entities which do not have minds capable of recklessness, wickedness, or intent to injure or deceive. An award of punitive damages against a corporation therefore must rest on the malice of the corporation’s employees. But the law does not impute every employee’s malice to the corporation. Instead, the punitive damages statute requires proof of malice among corporate leaders: the officers, directors, or managing agents.” (Cruz v. Home Base (2000) 83 Cal.App.4th 160, 167 [cleaned up].)

Here, Plaintiff alleges:

25. On November 10, 2025, Plaintiff, through counsel, tendered the defense of the Cross-Complaint to Defendants under the Policy. On November 12, 2025, Defendants, using an email address associated with FIDELITY NATIONAL FINANCIAL, INC., acknowledged receipt of the claim and assigned Claim Number 1014684. In the acknowledgment correspondence, Defendants indicated they would conduct an investigation before making a coverage determination, despite that coverage could be determined based on the pleading alone. Senior Claims Counsel Anneliese Czarnick was assigned to investigate the claim and to implement Defendants’ corporate policy and directive in making the coverage determination on their behalf.

26. At all relevant times herein, Ms. Czarnick was acting within the course and scope of her employment with the Defendants as their common and authorized managing agent. Ms. Czarnick is the senior-most individual in charge of claims handling for Defendants in the Southwest region, including California, and her authority extended to setting, interpreting, applying, enforcing, and implementing Defendants’ defense and claims handling policies and practices for similarly situated insureds throughout her territory. She had, and exercised, full and

unlimited discretion and independent authority and judgment, with no further supervision required, to dispose of insureds' claims and make and bind the Defendants to coverage and claims handling decisions, including in connection with Plaintiff's claim. Ms. Czarnick held herself out to insureds, including Plaintiff, as authorized to act and make ultimate decisions on Defendants' behalf in connection with claims handling policies and practices, including in response to Plaintiff's request that the Defendants' position in this matter be escalated and reviewed. Ms. Czarnick was also authorized to, and did, communicate, make, and sign claims correspondence and coverage decisions on behalf of different Defendants. In correspondence with Plaintiff's counsel, she sent emails using a FIDELITY NATIONAL FINANCIAL, INC. email address and signature line and letters on FIDELITY NATIONAL TITLE INSURANCE COMPANY letterhead. By virtue of her authority and conduct, Ms. Czarnick's decision-making was not limited to isolated claim decisions but instead determined, reflected, implemented, and effectuated the Defendants' established corporate policy and practice for handling similarly situated claims in California, which policy and practice is alleged to be unfair, unlawful, tortious, and fraudulent in violation of California law. By reason of the foregoing, Ms. Czarnick is and was, at all relevant times, a "managing agent" of each of the Defendants within the meaning of California Civil Code section 3294, subdivision (b).

27. The

Galactus Cross-Complaint did not plead any facts that demonstrated the trespass, nuisance, and equitable easement claims were, on their face, outside of the covered risks and within any exceptions contained within the Policy, and potential coverage under the Policy was immediately apparent simply based on a review of the Cross-Complaint's allegations, including of "encroachments," as compared to the Policy terms. Rather than promptly evaluating the tender based on the Cross-Complaint and the Policy, which were the only documents necessary to determine whether a duty to defend existed, Defendants embarked on a protracted and prejudicial investigation designed to delay its coverage determination and find a basis to deny or limit coverage, consistent with their established policy and practice. The tone and tenor of Ms. Czarnick's communications to Plaintiff throughout the investigation, moreover, was consistently hostile and aggressive, characterized by persistent threats to deny coverage based on purported lack of cooperation.

28. On

November 17, 2025, Ms. Czarnick emailed a laundry-list of requests for information and documents to Plaintiff's counsel, including for: (a) seller's disclosures from Plaintiff's acquisition of the Property; (b) the purchase contract; (c) any surveys or inspections conducted prior to acquisition; (d) all pleadings filed in the underlying litigation; (e) all discovery propounded or responded to in the underlying litigation; (f) the date on which the fence referenced in the Cross-Complaint was constructed; and (g) the status of any settlement communications. Pursuant to Defendants' policy and practice, Ms. Czarnick's objective and intention was to find a basis to deny coverage or to limit coverage to only certain claims, or parts of a claim. At the conclusion of that list, and before any coverage determination had been made, Ms. Czarnick wrote: "Regardless of whether the Company provides the insured a defense to a part of the cross-complaint, the Insured will need its own counsel to provide a defense for non-title matters." Defendants' stated position and policy to provide only a partial defense violates California law.

29.
Citing to Buss v. Superior Court (1997) 16 Cal.4th 35, Plaintiff's counsel wrote to Ms. Czarnick that Defendants' stated position that no defense would be provided as to "non-title matters" even if a defense is provided for other claims was "incorrect" and contrary to California law. On November 18, 2025, Ms. Czarnick responded by invoking the cooperation clause, threatening to conduct an examination under oath, and reiterating the demand for documents, without explaining their relevance to coverage under the Policy. She specifically threatened that no defense coverage would be provided if the insured did not produce the purchase contract for the Property. Ms. Czarnick did not identify what information from that document could supply a basis for coverage under the Policy because, consistent with Defendants' established policy and practice, she was looking for extrinsic evidence that could support exclusions to deny or limit coverage.

30. On
November 21, 2025, Ms. Czarnick emailed a further request for Plaintiff to identify what the "landscaping mentioned in the cause of action for Trespass consists of," specifically whether it includes "plants," "retaining walls," "patios," or something else. Plaintiff's counsel responded that no written discovery had been conducted as of that date between Plaintiff and Galactus and that it would not speculate as to what Galactus was claiming to be the trespass beyond the allegations of the Cross-Complaint. In an email response, Ms. Czarnick wrote that if Plaintiff did not respond and provide that information, then she would "presume it's just plants," which would not be covered under the Policy, instead of presuming that it was something potentially covered as

required by law. Later that same day, Ms. Czarnick again demanded that Plaintiff “answer the question of what items are located on the Property in proximity to the boundary line,” repeating that Plaintiff “is obligated to cooperate in a coverage investigation.”

31. Defendants’ serial demands for information and documents were unnecessary to determine whether a duty to defend existed on the face of the Cross-Complaint. Under California law, the duty to defend is determined by comparing the allegations of the complaint to the terms of the policy. Montrose Chemical Corp. v. Superior Court (1993) 6 Cal.4th 287, 295. The Cross-Complaint and the Policy were sufficient to make this determination. Defendants’ requests for extrinsic evidence, such as seller’s disclosures, surveys, purchase contract, and the precise composition of alleged landscaping, were designed to delay the coverage determination, shift investigative burdens onto the insured, and find a basis for denying or limiting coverage and were firmly grounded in Defendants’ established company policy and practice.

32. On December 11, 2025, Ms. Czarnick, on behalf of the Defendants, finally issued a written coverage determination letter to Plaintiff’s counsel, wherein Defendants, under a reservation of rights, accepted defense of only what was termed “Covered Matter,” while denying defense of what was termed “Non-Covered Matter.” Specifically, the letter stated that Defendants accepted defense of the first cause of action for trespass but only “to the extent Galactus is seeking removal of landscaping structures” and for the third cause of action for equitable easement and stated they would “retain counsel on behalf of the Insured to defend the Insured in the Litigation as to these categories of allegations.” Then, Defendants’ letter knowingly and intentionally misrepresented the law to the insured writing that “California law does not require the Company to defend an entire action simply because part of the action is covered.” That statement was false and made with the intention to induce Plaintiff to accept lesser benefits than she was entitled to under the Policy and California law and shift the cost of defending the Cross-Complaint onto Plaintiff.

33. Defendants’ letter also expressly and unreasonably rejected the applicability of California’s duty to defend jurisprudence to title insurance, writing: “Based on the language of the Policy, the Company only has a duty to provide a

defense as to those potentially covered portions of the Cross-Complaint. In cases involving liability policies which do not have this limiting contractual language, California courts have held that the insurer must defend all claims alleged in the action and pay all costs of defense even though it has no contractual duty to defend claims not potentially covered. See Buss v. Superior Ct., 16 Cal. 4th 35 (1997); Horace Mann Ins. Co. v. Barbara B., 4 Cal. 4th 1076 (1993). There is no published California case which applies this analysis in the context of title insurance. To do so would contradict the express language of the title insurance policy."

34.

Contrary to Defendants' misrepresentations to its insured, the duty to defend in a title insurance case is governed by the same principles which govern the duty to defend under general liability policies. See Lambert v. Commonwealth Land Title Ins. Co. (1991) 53 Cal.3d 1072, 1078. In that regard, California case law provides that, even in the context of title insurance, the duty to defend applies to noncovered claims so long as any of the claims asserted in the complaint discloses the potential for liability covered by the policy. See Liberty Nat'l Enterprises v. Chicago Title Ins. Co. (2013) 217 Cal. App. 4th 62, 76; Rosen v. Nations Title Ins. Co. (1997) 56 Cal. App. 4th 1489, 1496-1497. Based thereon, Defendants were required to defend the entire CrossComplaint after having found that at least some of the claims in the Cross-Complaint were covered.

35.

Defendants' coverage determination letter also improperly denied coverage for the second cause of action for nuisance on the ground that it was "not related to title to the Property." To reach that conclusion, Defendants narrowly construed the allegations under the nuisance cause of action as excluding structures, even though the claim incorporated the Cross-Complaint's allegations "that landscaping on the Dairy Property encroaches on to the Galactus Property," which allegations were determined to be covered under the trespass cause of action. As the allegations could reasonably be read to involve a covered risk, or could fairly be amended to do so, Defendants owed a duty to defend this cause of action. However, Defendants instead recast a potentially covered claim as a non-covered claim, and wrongfully denied coverage.

36. On

December 12, 2025, Plaintiff's counsel sent a letter to Ms. Czarnick which cited to the California case authority, including title insurance cases Liberty National Enterprises v. Chicago Title Ins. Co. and Rosen v. Nations Title Ins. Co., and demanded that Defendants reconsider their coverage determination and appoint independent counsel under California Civil Code section 2860 on the ground that Defendants' patchwork coverage determination created a conflict of interest. No response was immediately received. Instead, on December 22, 2025, Plaintiff's counsel received an email from an attorney named Stephen C. Chuck of Chuck & Tsoong, LLP advising that "My office has been engaged by Fidelity Title to defend Ms. Dairy on certain aspects of the Galactus cross-complaint for trespass, and against the Galactus cross-complaint for equitable easement as set forth in the attached engagement letter." Attached to that email was a proposed retainer agreement for a "Limited Scope of Engagement" which stated as follows:

Limited
Scope of Engagement

Our firm
has been retained by Fidelity Title for the limited purpose of defending you against certain claims in connection with your lawsuit entitled Dairy v. Galactus, LLC, Los Angeles Superior Court Case No. 24SMCV02533 ("Action"). The scope of our representation of you in the Action is limited to the following claims:

• First
Cause of Action for Trespass in the Galactus Cross-Complaint, but only to the extent Galactus is seeking the removal of landscaping structures.

• Third
Cause of Action for Equitable Easement in the Galactus Cross Complaint. Our firm is not retained with respect to any other aspect of the Action, whether it pertains to your Complaint against Galactus, or the other claims Galactus is making against you in its Cross-Complaint. Nor is our firm retained in any manner with respect to the related lawsuit entitled Nicole Dairy v. Marc Smith, LASC Case No. 23STCV02238.

37.
Panel counsel Chuck & Tsoong, LLP's retention and its limited scope retainer agreement were instruments by which Defendants implemented their unlawful, tortious, and fraudulent policy and practice of providing only a

partial defense to California insureds. At all relevant times, Chuck & Tsoong, LLP knew, or as California attorneys should have known, that the partial defenses they were providing to insureds, including Plaintiff, were contrary to California law. Notwithstanding, Chuck & Tsoong, LLP knowingly accepted, agreed to, and undertook the engagement on the terms dictated by Defendants, thereby enabling, committing, aiding, abetting, and furthering Defendants' misrepresentations concerning the duty to defend under the title policy and California law, tortious bad faith breach of the covenant of good faith and fair dealing, and unfair, unlawful, and fraudulent business practice. For more than a decade, Chuck & Tsoong, LLP's services were sought, obtained, and utilized by Defendants to enable them to plan, implement, and carry out their scheme to induce California insureds, including Plaintiff, to accept lesser benefits than those owed under the title policy and California law and to shift the costs of defense onto the insureds for Defendants' own economic interest and at the insureds' expense. The communications between Chuck & Tsoong, LLP and Defendants concerning its engagement, the scope of the defense, and the handling of the Plaintiff's claim were made in furtherance of, and bear a reasonable relationship to, the foregoing unlawful, tortious, and fraudulent conduct.

38. On
January 5, 2026, Ms. Czarnick, on behalf of Defendants, then sent a letter to Plaintiff's counsel denying Plaintiff's request for reconsideration and for appointment of independent counsel and once again, knowingly and intentionally misrepresenting that "California law does not require the Company to defend an Insured against an entire action when only a portion of the action is potentially covered."

39. On
January 7, 2026, Plaintiff's counsel wrote to Ms. Czarnick to advise that Defendants' position is contrary to California law and to inform that Plaintiff is facing time pressures to resolve the underlying action as her permits for her approved building plans on the Property were set to expire this year and could not be further extended. Plaintiff's counsel advised that the insured did not approve of the appointment of attorney of Stephen Chuck nor of the terms and conditions of the retainer agreement he proposed. As a compromise, Plaintiff's counsel proposed the retention of another attorney as defense counsel whom the insured would trust to defend her and bring the case to a conclusion via trial or settlement.

40. No response was received. On January 13, 2026, Plaintiff's counsel sent another letter reiterating Plaintiff's position that a full defense of the Cross-Complaint is required under California law, advising that Defendants are to reimburse Plaintiff for the attorney's fees incurred in defense of the Cross-Complaint, and demanding preservation of evidence relating to Defendants' claims policies and procedures. Just over an hour later, Ms. Czarnick responded by email advising that any defense costs incurred by Plaintiff would not be reimbursed and setting forth Defendants' position on the duty to defend as follows: "As I am sure you are aware, in instances where an insurer provides a complete defense under the Buss case, the insurer can recover from the Insured those portions of the bill attributable to non-covered matters at the conclusion of the case. Regardless of the position you take regarding the Buss case, [Plaintiff] is going to be paying for the defense of non-covered matters in the cross-complaint." In other words, Defendants justify their unlawful policy and practice of refusing to defend alleged non-covered claims along with the covered claims on the grounds that they would have a later right to seek reimbursement of those costs from the insured, effectively shifting the burden on the insured to bear the costs of the defense upfront.

41. On January 27, 2026, Ms. Czarnick, on behalf of Defendants, sent another letter to Plaintiff's counsel rejecting Plaintiff's further request for reconsideration. This letter, like those before it, once again misrepresented the law and Policy with respect to the duty to defend, writing "California law does not require the Company to defend an Insured against an entire action when only a portion of the action is potentially covered." Then, in retaliation for Plaintiff's invocation of her right to a complete defense under the law and to independent counsel, Ms. Czarnick's letter terminated coverage, effectively denying the claim in full, stating "based on the lack of cooperation, the Company has no further obligation for the claim."

42. At the time of each of the letters authored by Ms. Czarnick on behalf of Defendants, Ms. Czarnick had personal and actual knowledge of the controlling California decisional authority requiring title insurers to defend an entire action, including noncovered claims, when any portion of the action is potentially covered. That authority was also provided to her by Plaintiff's counsel. Notwithstanding, Ms. Czarnick affirmatively misrepresented the California law and duty to defend owed under the Policy to Plaintiff in each of

her letters by stating that “California law does not require the Company to defend an entire action simply because part of the action is covered,” which she knew to be false. Ms. Czarnick made these misrepresentations pursuant to Defendants’ established policy and practice in order to induce Plaintiff to accept lesser benefits than she was entitled to under the Policy and California law and shift the cost of defending the Cross-Complaint onto Plaintiff, for Defendants’ own economic interests at the expense of Plaintiff’s.

43.
Moreover, Ms. Czarnick’s coverage determinations as to Plaintiff’s claim were final and binding on the Defendants and were not subject to further internal review, reversal, or override by any superior officer or supervisor; indeed, when Plaintiff’s counsel demanded escalation and reconsideration of the coverage position and Defendants’ disregard of known California case authority as to the duty to defend, the response came from Ms. Czarnick herself reaffirming her misrepresentations and Defendants’ position. Defendants further ratified Ms. Czarnick’s conduct alleged herein by failing to retract, correct, or disavow her misrepresentations of California law and the duty to defend after Plaintiff’s repeated written demands for reconsideration, and by permitting her to continue to act on their behalf and to terminate coverage entirely on January 27, 2026.

44.
Defendants’ determination to provide only a partial defense is tantamount to a complete denial of a defense to the Cross-Complaint.

(FAC ¶¶ 25-44.)

Thus,
the Court determines that Plaintiff has adequately alleged specific facts regarding conduct by Ms. Czarnick, acting as Defendants’ managing agent, constituting oppression, fraud, and/or malice to state a claim for punitive damages.

CONCLUSION AND ORDER

For the reasons stated, the Court overrules Defendants’ Demurrer to the First Amended Complaint in its entirety.

The Court also denies Defendants’ motion to strike punitive damages in its entirety.

Further, the Court orders Defendants to file an Answer to the First Amended Complaint on or before August 10, 2026.

Defendants shall also provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 27, 2026 _______/s/____________________

Michael
E. Whitaker

Judge
of the Superior Court